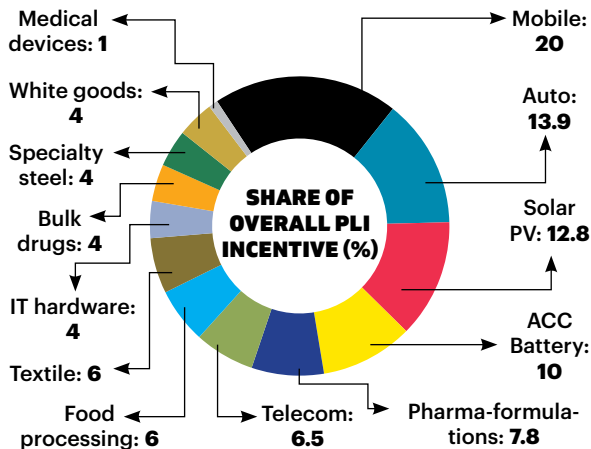
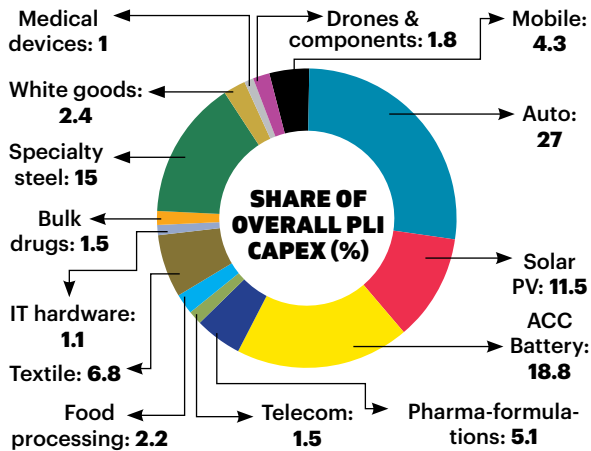


SECTOR SPLIT

● Auto, Solar and ACC Battery are estimated to be drawing 60-66% of the total capex under PLI

● Mobile handsets industry to receive the largest share of the PLI incentive, at 20%



SOURCE CRISIL, MINISTRIES, PIB



“Three to four PLI schemes have seen good response and that gives us hope that other schemes will also do well”

RAJIV SINGH THAKUR
ADDITIONAL SECRETARY,
DPIIT, AT A BRIEFING

the initially planned ₹8,500 crore during the Budget 2023. Earlier this year, Rajeev Singh Thakur, Additional Secretary at the Department for Promotion of Industry and Internal Trade (DPIIT), had said in a briefing that in the first seven months of FY24 (April to October), manufacturers across eight sectors, including large-scale electronics manufacturing, IT hardware, and pharmaceuticals, had already received ₹4,415 crore in incentives. Although this falls short of the yearly target of ₹11,000 crore, authorities anticipate an acceleration in the pace of incentive disbursement in the latter half of the fiscal.

ACCORDING TO CRISIL MIA, the PLI scheme will drive total investments ranging between ₹3 lakh crore and ₹3.5 lakh crore. The top three sectors—solar, auto, and ACC battery—are expected to constitute nearly 66% of the total capital expenditure. Approximately 35-40% of these investments have been finalised, with Tamil Nadu (33%), Gujarat (28%), and Karnataka (11%) accounting for over 70% of the total.

“So far, under the scheme, 746 applicants have been approved, and actual investments worth ₹95,000 crore have been realised till November 2023,” notes Lodha. The scheme is anticipated to significantly boost the country’s average yearly industrial capital expenditure (capex) by 54% between FY23 and FY27, reaching ₹5.7 lakh crore from the previous five-year average of ₹3.7 lakh crore (FY18 to FY22). Over the next five years, private capex through PLI is estimated to constitute 9% of India’s total capex.

Importantly, while India has seen high levels of unemployment in recent years, the PLI scheme can be a crucial player in job creation. Rameswar Teli, Union Minister of State for Labour and Employment, has said that the scheme has the potential to generate 6 million new jobs between FY22 and FY27.

Expanding its reach, PLI now encompasses 14 key sectors, with the launch of Solar PLI Tranche II awarded to 11 players, including Reliance Industries, Tata Power, and JSW Energy Limited. The Solar PLI Tranche II boasts an estimated incentive outlay of ₹13,397 crore. Experts say that once PLI is expanded to include sectors like leather, garments, handicrafts, and jewellery, it could not only generate substantial employment, but also benefit lower-income households, who mostly belong to these industries.

If one goes only by the numbers, PLI is indeed transforming India’s manufacturing space. But, one will have to wait to find out how the scheme will impact the sector in the long run. **BT**

@arndutt